



File No.: EXP202305050

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: As a result of a complaint filed with the Spanish Agency for Data Protection against QUALITY-PROVIDER S.A. with NIF A87407243 (hereinafter, QUALITY) as the owner of the portal Inglobally.com, indications of a possible breach of the provisions of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR) were observed, leading to the initiation of actions under file number EXP202213771.

In accordance with the provisions of Article 65 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (LOPDGDD hereinafter), the complaint was forwarded to the responsible party or the Data Protection Officer designated, if applicable, requesting them to send this Agency the information and documentation indicated.

In response to this request for information, QUALITY, through a registered entry dated January 3, 2023, and registration number REGAGE23e00000616695, states that it is unable to provide the information related to file EXP202213771 since the complainant did not provide a photocopy of their national identity document for identification purposes, which prevents them from knowing and accurately identifying the individual in question and, therefore, knowing which data is involved. On February 21, 2023, the complaint was accepted for processing after three months had passed since it was received by this Agency.

SECOND: The General Subdirectorate for Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the investigative powers granted to control authorities in Article 57.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section Two, of the aforementioned LOPDGDD.

In the context of the investigative actions, QUALITY was informed that inspectors from the Spanish Agency for Data Protection would visit their headquarters on March 27 to conduct an inspection, considering the presence of representatives of the entity essential to collaborate in the inspection and facilitate access to their files. This communication was registered as sent on March 15, 2023.

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28001 – Madrid
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2/18

THIRD: The communication of the inspection visit, which was notified in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was received by QUALITY on March 15, 2023, as evidenced by the acknowledgment of receipt in the file.

FOURTH: QUALITY, through a registered entry dated March 22, 2023, with registration number REGAGE23e00018591646, communicates that the Administrator of the company is exercising the right not to testify and that both he and the Legal Department of the company will attend the summons on March 27, 2023, at 10:00 AM, at their registered office at Calle Goya 18 and that they will not allow the inspectors of this Agency to enter their premises.

They base this refusal on Royal Decree 389/2021, of June 1, which approves the Statute of the Spanish Agency for Data Protection (hereinafter RD 389/2021), specifically on the sole additional provision which abolishes the following management bodies:

- a) The director of the Spanish Agency for Data Protection.
- b) The General Registry of Data Protection.
- c) The Data Inspection.

As well as on the sole repealing provision and the sole final provision which repeals Royal Decree 428/1993, of March 26, which approves the Statute of the Spanish Agency for Data Protection and establishes its entry into force.

They argue that the preamble of RD 389/2021 establishes that the AEPD will have its own legal personality and full public and private capacity and that, observing the counterparts of other European Bodies, all are defined solely as public entities, thus qualifying this Agency as a semi-public-private entity, asserting that there is no legal or private security.

Likewise, they claim that the Government and this Agency have not proceeded to transpose Directive (EU) 2019/137 of the European Parliament and of the Council of October 23, 2019, on the protection of persons who report breaches of Union Law, which is directly applicable and prevails over any National Law and Royal Decree.

They also request the identification and accreditation of the inspectors with their names, surnames, and National Identity Documents as a condition for them to be attended to, in order to be able to challenge them and take measures against them in case of disrespect and lack of courtesy.

They also accuse this Agency of systematically breaching the Law.

Finally, they warn that this Agency will not access any data and will not provide any information. They also inform that any collaboration will be presented in court and warn in advance that access to the company's registered office by the inspectors will not be allowed and that they will be recorded.

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28001 – Madrid

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3/18

FIFTH: QUALITY is the owner of the portal Inglobaly.com, through which it carries out activities involving the processing of personal data.

SIXTH: According to the report obtained from the AXESOR tool, the entity QUALITY-PROVIDER S.A. is an SME (Microenterprise), established in 2015, with a business volume of 558,381 euros in 2021.

SEVENTH: On May 24, 2023, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against QUALITY, in accordance with the provisions of Articles 63 and 64 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), for the alleged infringement of Article 58.1 of the GDPR, classified under Article 83.5 of the GDPR Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR).

EIGHTH: The aforementioned initiation agreement was received by QUALITY on May 26, 2023, as evidenced by the acknowledgment of receipt in the file.

NINTH: On June 6, 2023, with entry registration number REGAGE23e00036059423, QUALITY submitted a written statement of allegations regarding the initiation agreement. As a preliminary allegation, it states that there is an inadequacy in the procedure initiated by the Spanish Agency for Data Protection for the processing of the present file. It recalls that, on December 17, 2019, Directive (EU) 2019/137 of the European Parliament and of the Council, of October 23, 2019, regarding the protection of individuals who report breaches of Union Law came into force, and that it makes an explicit and positive recognition of what constitutes Union Law.

It also points out that this Directive directly modifies Directive 2002/58/EC of the European Parliament and of the Council, of July 12, 2002, regarding the processing of personal data and the protection of privacy in the electronic communications sector and the GDPR, and delineates the scope of competencies related to Union Law, establishing as the Union's own sovereignty the area of personal data and, therefore, the GDPR, establishing a different and distinct procedure from the one initiated by this Agency.

It continues to explain that the most significant implications of this Directive are that, first, it creates a different conflict resolution and administrative simplification system; and, second, its entry into force renders the LOPDGDD obsolete, which should have been adapted from the moment the Directive (EU) 2019/137 came into force. This implies that any procedure related to data protection must be carried out in accordance with the procedure imposed by this Directive and, therefore, through the

ASPERTIC/VIADENUNCIA, which in January 2020 notified the European Commission that it would be established as an external reporting mailbox for the purposes of the Directive.

It similarly asserts that the provision made by the Directive regarding the integration of data protection matters into the competencies of the national authority of Union Law also serves to vacate the competencies of state bodies and institutions, such as the Spanish Agency for Data Protection.

C/ Jorge Juan, 6

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28001 – Madrid

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4/18

Data, for the purposes of having such powers become part, wholly or partially, of the scope of competencies of the competent national institution or authority, as designated by the Union in its Directive (EU) 2019/1337, which must carry out and perform the functions provided for in the aforementioned Directive.

Finally, it informs that QUALITY has adapted to said Directive and considers that there is an inadequacy of the initiated procedure, as well as a manifest incompetence of the Spanish Agency for Data Protection for the processing of the present procedure, for which it requests that it be declared incompetent and refrain from its processing.

As the first and only allegation, it declares that it does not have personal data of anyone, that the AEPD has not been able to demonstrate so far the data or files that belong to QUALITY and that it insists on something that it has not been able to demonstrate, thus demonstrating its lack of legal rigor and transparency.

Next, QUALITY asserts that the Director of the Spanish Agency for Data Protection signs the Agreement to initiate the present file illegally and irregularly since her position, now expired, disappears irreversibly with Royal Decree 389/2021, of June 1, which approves the Statute of the AEPD, having been appointed in 2015, having a duration of 5 years and not having been revoked in her position nor re-elected, exercising her position in fraud of Law. From the above, it concludes that the Director cannot sign any requirement, agreement, or sanction until the appointment of a successor, and since the Royal Decree has not been rectified, it leaves this Agency unfit.

Regarding the obstruction of the inspection action, QUALITY maintains that such obstruction has not existed since section c) of the aforementioned Royal Decree 389/2021, of June 1, abolishes the Data Inspection. Furthermore, it claims that the AEPD is pursuing them and wants to prepare non-existent evidence through illegality.

They allege that on March 27, the inspectors did not show up because they knew they would be recorded and their alleged continued infractions and the abuses committed so far by this Agency would be demonstrated.

QUALITY states that, despite having previously warned that they would not be available that day, on March 15, 2023, two inspectors from the Spanish Agency for Data Protection appeared at their headquarters for the purpose of conducting an inspection.

As for March 27, 2023, they continue, no inspector from this Agency appeared at their registered office, following their warning that both the Administrator of the company and their Legal Department would attend the summons and would not allow the inspectors of the Agency to enter the premises.

They again assert that this non-appearance was due to the fear of being recorded and knowing that they would commit an infraction or crime. Furthermore, they reiterate that they do not have files or data in ownership, making it impossible to collaborate with this Agency, that this Agency is not competent to carry out any inspection as its functions have been abolished, and that no tests related to previous complainants have been carried out.

C/ Jorge Juan, 6

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28001 – Madrid

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5/18

denied the ability to identify themselves before QUALITY, as well as the fact that previous writings

have not been read, and therefore, this Agency has been unable to contradict them in their allegations and evidence.

Finally, QUALITY states that, according to the LPACAP, the resolution has been communicated outside the six-month period allowed by said regulation and cites various articles of it, concluding by requesting that the prior allegation be upheld and, subsidiarily, in case it is dismissed, that the sanctioning file be archived.

TENTH: On June 16, 2023, a proposal for resolution was made, in which it was proposed that the Director of this Agency sanction QUALITY for an infringement of Article 58.1 of the GDPR, classified under Article 83.5 of the GDPR, with a fine of €20,000.00. This proposal for resolution was duly notified to the accused party.

ELEVENTH: On June 28, 2023, and with entry registration number REGAGE23e00042424332, QUALITY submitted a written statement of allegations regarding the Proposal for resolution. As a preliminary allegation, they reaffirm all the statements made in previous writings.

Regarding this Agency's response to QUALITY's assertion that the Director's position has expired, QUALITY states that it has been unable to find SAN 5570/2022, dated December 9, 2022, within the CENDOJ. Furthermore, QUALITY reproduces the sole article and the sole repealing provision of Royal Decree 389/2021, of June 1, which approves the Statute of the AEPD, as well as sections 1, 2, and 3 of Article 3 of the Statute of the AEPD. With this, they argue that for this Agency to continue exercising its functions, a president in office must first have been appointed or the powers of the Director must have been extended, whose position, they reiterate, has been eliminated.

Additionally, QUALITY reproduces Article 38 of the Statute of the AEPD regarding incompatibilities of personnel of the Spanish Data Protection Agency and states that they have evidence and data. They also reproduce Article 53 of the GDPR, concerning general conditions applicable to members of the supervisory authority, after which they state that "It is curious that Ms. Mar España Martí was irregularly appointed by the government in her case; we are in a situation where the Supreme Court and the European Union, specifically the European Committee itself, have not allowed the appointment as they did with you, of the new president due to being incorrect and irregular."

Moreover, QUALITY indicates that Organic Law 15/1999, of December 13, is repealed in all its articles by the GDPR and the LOPDGDD. QUALITY insists again that the positions have been eliminated, as well as the Data Inspection, arguing that consequently, the entire new statute of the AEPD depends on the new President to be appointed, but the position of Director has been eliminated.

On the other hand, QUALITY points out that in Foundation II, we tell them that the procedure will have a maximum duration of twelve months from the date of the initiation Agreement, while in the file numbered EXP202300740 they...

C/ Jorge Juan, 6

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28001 – Madrid

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6/18

We inform you that this procedure will have a maximum duration of nine months from the date of its initiation agreement. QUALITY argues that, due to existing inconsistencies, it believes it is better to be guided by the LPACAP, Law 40/2015, of October 1, on the Legal Regime of the Public Sector and its implementing provisions, without prejudice to the specificities of the sanctioning procedure, from which QUALITY deduces that the procedure will expire six months after its initiation without the resolution being notified.

QUALITY also reproduces Article 42 of the LOPDGDD, which develops the cases subject to prior authorization from the data protection authorities, in which, in its first section, it sets the procedure related to international transfers at a maximum duration of six months. It also reproduces Articles 48, concerning the Presidency of the Spanish Agency for Data Protection, and 75, regarding the interruption of the statute of limitations for the infringement, of the aforementioned LOPDGDD.

On the other hand, QUALITY states that, during the current procedure, it has repeatedly asserted that it does not have personal data of anyone and that this Agency has not been able to demonstrate so far which data or files belong to it, thus demonstrating its lack of legal rigor and transparency.

Regarding the signature of the Director of this Agency, QUALITY insists that her position has irreversibly disappeared with Royal Decree 389/2021, of June 1, which approves the Statute of the AEPD. It claims that her position, which has a fixed duration of five years, has expired, and therefore, the position must be revoked and then re-elected, but none of this has occurred. The termination date is July 24, 2020, and since no re-election or publication in the BOE has taken place, they add, she is exercising her position in violation of the law. Consequently, they conclude, she cannot sign any requirement or sanction.

In this regard, QUALITY adds that, to continue exercising her position, the Government would have had to modify in a subsequent Royal Decree, which it has not done, the extension of Mar España Martí's position, and such an extension has not been published; therefore, QUALITY understands that Royal Decree 389/2021, of June 1, remains in force with all its consequences.

It continues to point out that this Royal Decree 389/2021, of June 1, nullifies the position of Director and therefore, it is expired and her signature lacks legitimate value, and the Director cannot sign sanctions and agreements because her position has been abolished, resulting in an alleged violation of the law, as she cannot sign documents until a successor is appointed, leaving this agency incapacitated and asserting that it is a proven fact that has not been disputed by the AEPD, nor questioned, making an erroneous interpretation of the new statute of the AEPD.

It also argues that the ECHR condemns Spain and criticizes it for the "unjustified and prolonged non-compliance with the law" for not renewing the CGPJ, and QUALITY maintains that "The European Court of Human Rights states that the consequences arising from the dysfunction in the renewal of the General Council of the Judiciary are enormous concerning the ordinary functioning of the judiciary and that a chain of disturbances is observed throughout the judicial system."

C/ Jorge Juan, 6

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28001 – Madrid

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7/18

It argues in the same way as SAN 5570/2022, dated December 9, 2022, cited in the Proposal for resolution of this sanctioning procedure, "demonstrates the erroneous application and interpretation by the Judge who issued it" since, as it claims, it is a "judgment taken with tweezers" and suffers from a "lack of legal reasoning" that cannot be applied in the present procedure due to the absence of effective judicial protection.

Thus, it concludes that "the expired and abolished charges in Royal Decree 389/2021, of June 1, cannot be in force until the new President of the AEPD is elected, if they are not re-elected and such communication is published in the BOE, a fact that has not been carried out by the government. In light of this judgment, which is directly applicable, an interim president must be appointed until the new definitive appointment, therefore, Ms. Mar España Martí must cease her functions immediately and submit her resignation."

Regarding the obstruction of the inspection action, QUALITY denies such obstruction because it claims that there is no inspection action, that the AEPD is pursuing them, and that they want to prepare non-existent evidence through illegality, insisting that the inspectors of this Agency did not show up on March 27, because they are not authorized and because they knew they would be recorded and their alleged continued infringements and the infringement/crime they would commit would be demonstrated. They also emphasize that they do not have files or data in ownership, making it impossible for them to collaborate with this Agency.

They continue their allegations by pointing out the lack of motivation in the assessment of the sanction. Thus, QUALITY considers that the application of Article 83.2.b) of the GDPR, regarding intent or negligence in the infringement, lacks legal foundation since negligence is not demonstrated nor is it shown what QUALITY's intent was in attending the meeting on March 27.

Next, QUALITY reproduces Article 53.1.c) and g) of the LPACAP, relating to the rights not to present original documents and to act assisted by counsel when they deem it appropriate in defense of their interests, and insists that they are only defending their rights and interests and that this Agency is not

authorized to carry out any data inspection since its functions have been abolished.

Regarding the duration of the procedures, QUALITY refers again to the LPACAP, specifically Article 21, which establishes the obligation to issue an express resolution and notify it within the maximum period set by the regulatory norm of the corresponding procedure, a period that may not exceed six months unless a law establishes a longer one or it is provided for in European Union law.

QUALITY also alleges a lack of motivation on the part of this Agency. Thus, it cites Article 35 and reproduces Article 87, concerning complementary actions, of the LPACAP, and requests the corresponding complementary actions because, as it states, "no action was taken by said Agency, for all of this, this party finds itself in a lack of protection of rights, committed by the instructor of the case. All of this leads to nullity and filing of actions, therefore, the filing of the present sanctioning procedure must proceed."

C/ Jorge Juan, 6

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28001 – Madrid

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8/18

QUALITY reproduces Article 63.3 of the LPACAP, according to which new sanctioning procedures for acts or behaviors classified as infringements in which the offender persists continuously cannot be initiated until a first sanctioning resolution has been issued, with executive character.

It also reproduces Article 74 of the LPACAP, according to which incidental issues arising in the procedure, including those relating to the nullity of actions, will not suspend the processing of the same, except for recusal.

QUALITY states that the Inspectors of the AEPD, by not appearing or being identifiable on March 27, deprived it of the grounds for recusal against them or any of them. Therefore, it concludes, there was a violation of fundamental rights.

Next, it reproduces Article 47.1.a), e), and g), according to which acts of Public Administrations that violate rights and freedoms susceptible to constitutional protection are null and void, those issued disregarding totally and absolutely the legally established procedure or the rules containing the essential regulations for the formation of the will of collegiate bodies, and any other that is expressly established in a provision with the rank of Law.

In this regard, QUALITY points out that "This party adds the constant pursuit by the AEPD against QUALITY, they have not demonstrated that it owns any file, procedures for the protection of rights are initiated for requesting the accreditation of those who carry out such acts, following the instructions of the European Data Protection Regulation, and this Agency unjustifiably engages in bypassing the Law and applying the Laws as they suit its interests."

QUALITY subsequently reproduces Article 48.3 of the LPACAP, according to which the performance of administrative actions outside the established time for them will only imply the annulability of the act when the nature of the term or deadline imposes it, as well as Article 86 of the GDPR.

Finally, QUALITY points out that the CJEU on 25/02/2021 condemned Spain to pay 15 million for failing to transpose a directive on time. Upon the expiration of the deadline set in the Commission's reasoned opinion, it continues, Spain had not adopted the necessary measures to ensure the transposition of the directive nor communicated such measures.

For all the above, QUALITY requests that the present sanctioning file be archived and that they be provided with the complete file.

TWELFTH: On July 10, 2023, and with entry registration number REGAGE23e00046234948, QUALITY, after receiving the requested copy of the present file, submits a new written statement of allegations to the Proposal for resolution of the present file in which, first of all, it ratifies everything stated in its previous written statement registered with this Agency on June 28, 2023.

C/ Jorge Juan, 6

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28001 – Madrid

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9/18

Secondly, QUALITY insists that the Director must immediately submit her resignation and cease her duties, again referring to the ruling of the European Court of Human Rights against Spain for the "unjustified and prolonged non-compliance with the law" for failing to renew the CGPJ, which, according to QUALITY, reinforces its argument and results in a lack of effective judicial protection. Thirdly, QUALITY claims to be surprised that the name of the complainant now appears and accuses this Agency of attempting, fraudulently, "in a case we are discussing regarding obstruction of the inspection action (suppressed), to introduce the case of this Lady as an excuse." Therefore, it requests that, automatically and ex officio, "this Lady be removed from this procedure." Again, QUALITY demands the annulment of all sanctioning or ongoing files by this Agency against it, reiterating that they are signed by a director whose position is suspended by Royal Decree 389/2021, of June 1, which approves the Statute of the AEPD. Fourthly, QUALITY refers to a news item related to the sanction imposed by this Agency on CaixaBank for providing a mother, who was not identified, with data from her daughter's account. It considers it contradictory that CaixaBank is sanctioned for not requesting the ID verification and they are sanctioned for doing so, noting that the sanction between both cases is not proportional. Finally, QUALITY requests that this sanctioning file be archived, and that all open and sanctioning procedures by this Agency be immediately suspended ex officio, due to the lack of authorized signature from the Director, as her position is suppressed and expired. In view of all that has been acted upon by the Spanish Agency for Data Protection in this procedure, the following facts are considered proven,

PROVEN FACTS

FIRST: The communication to QUALITY of the inspection visit by Inspectors from the Spanish Agency for Data Protection to its headquarters, referred to in the second and third recitals, was notified in accordance with the provisions of the LPACAP on March 15, 2023.

SECOND: On March 22, 2023, QUALITY communicated in writing that it would not allow the inspectors of this Agency to enter, expressing its refusal for this Agency to access any data and to provide any information.

THIRD: The notification of the agreement to initiate the present sanctioning procedure was received by QUALITY on May 26, 2023.

FOURTH: QUALITY has submitted allegations to the agreement to initiate this sanctioning procedure as recorded in the ninth recital.

FIFTH: The notification of the proposed resolution of the present sanctioning procedure was received by QUALITY on June 16, 2023.

C/ Jorge Juan, 6

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28001 – Madrid

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10/18

SIXTH: QUALITY has submitted allegations to the proposed resolution of this sanctioning procedure as recorded in the eleventh and twelfth recitals.

LEGAL GROUNDS

I

Competence

According to the powers granted to each control authority by Article 58.2 of the GDPR, and as established in Articles 47, 48.1, 64.2, and 68.1 of the LOPDGDD, the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Allegations to the initiation agreement

In response to the allegations presented by QUALITY, the following should be noted.

Firstly, regarding the so-called preliminary allegation by QUALITY, related to Directive (EU) 2019/1937, it should be highlighted that Article 1 of the same states that its purpose is to reinforce the application of Union law and policies in specific areas by establishing common minimum standards that provide a high level of protection for individuals who report breaches of Union law, with the personal scope of application outlined in Article 4, which is limited to whistleblowers working in the private or public sector who have obtained information about breaches in a work context.

Moreover, Article 17 states that any processing of personal data carried out under this Directive, including the exchange or transmission of personal data by competent authorities, shall be carried out in accordance with Regulation (EU) 2016/679 and Directive (EU) 2016/680.

Thus, the main objective of this Directive is to protect those who report breaches or irregularities in a company through a specific channel without facing retaliation.

For its part, the first paragraph of Article 1 of the GDPR proclaims that the Regulation establishes rules regarding the protection of natural persons concerning the processing of personal data and the rules regarding the free movement of such data. Its second paragraph adds that it protects the rights and

C/ Jorge Juan, 6
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28001 – Madrid
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11/18

fundamental freedoms of individuals and, in particular, their right to the protection of personal data. Regarding the material scope of application of the GDPR, it is limited to what is provided in Article 2, where it is specified in its first paragraph that it applies to the total or partial automated processing of personal data, as well as to the non-automated processing of personal data contained in or intended to be included in a file.

Furthermore, Article 51.1 of the GDPR stipulates that each Member State shall provide that one or more independent public authorities (hereinafter "supervisory authority") shall be responsible for overseeing the application of this Regulation, in order to protect the rights and fundamental freedoms of individuals with regard to processing and to facilitate the free movement of personal data within the Union, developing the functions of each supervisory authority in its Article 57.

For its part, the LOPDGDD in its Article 47 establishes the functions and powers of the Spanish Agency for the Protection of Data, among which is the supervision of the application of the GDPR, and its Title VIII regulates the procedures in case of possible infringement of data protection regulations. Therefore, Directive (EU) 2019/1937, contrary to what QUALITY claims, does not modify the GDPR nor render the LOPDGDD obsolete, but rather is a norm with a clearly distinct purpose and scope of application from that of the GDPR and, consequently, from the LOPDGDD. Thus, the claims made by QUALITY regarding the inadequacy of the procedure initiated by the Spanish Agency for the Protection of Data for the processing of the present file are completely unfounded.

Next, it states as its first and only allegation that it does not have personal data of anyone, accusing the AEPD of lack of legal rigor and transparency. In this regard, it is noted that the alleged infringement that initiates this sanctioning procedure is not related to the legitimacy of the possible processing it may carry out, but rather to the obstruction of this Agency's ability to exercise the investigative powers recognized by Article 58.1 of the GDPR and 53.1 of the LOPDGDD, as developed in the motivation of the initiation agreement. On the other hand, the activity of processing personal data by QUALITY is evidenced in firm resolutions of this Agency, such as in the sanctioning procedure EXP202103457. The next argument put forward by QUALITY focuses on the expiration of the term of the Director of the Spanish Agency for the Protection of Data. Well, the SAN 5570/2022, of December 9, 2022, already extensively analyzes this matter, ruling as follows:

"Having presented the positions of the parties, we must start from Article 53, paragraph 3, of the GDPR, as it indicates that the members of the supervisory authority 'shall cease their functions in the event of termination of the mandate, resignation, or mandatory retirement, in accordance with the law of the Member State in question.'"

C/ Jorge Juan, 6

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28001 – Madrid
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12/18

In the internal sphere, Article 36.1 of Organic Law 15/1999, of December 13 (LOPD), which is the applicable regulation at the time of the appointment of the Director of the AEPD, establishes that the Director of the AEPD shall be appointed by Royal Decree for a period of four years. Paragraph 3 of the same provision states that before the expiration of this term, the Director of the AEPD may only be dismissed at their own request or by separation agreed upon by the Government due to serious breach of their obligations, unforeseen incapacity to perform their duties, incompatibility, or conviction for a willful crime.

That is to say, after the term of 4 years has elapsed, the Government may dismiss the Director without the need for cause, but this does not imply that when this term is fulfilled, their position automatically ceases to be effective and to have any functions or competences, as this is not expressly stated in the aforementioned LOPD, nor in Organic Law 3/2018, of December 5 (LOPDCDD), in its Article 48 regarding the Presidency of the AEPD.

This has been understood and practiced by all Governments that proceed to expressly dismiss the Directors of the AEPD by Royal Decree, even when their term of appointment has expired, without their positions ceasing to be effective and in function until their respective dismissals and the concurrent appointments of their successors in office, to avoid gaps in the institution.

This is in accordance with the principles of responsibility and continuity of institutions, to prevent the institution from becoming inoperative when a new person has not been appointed to the position.

The legislator could have expressly established the automatic provision for the decay of the position, that is, that the effectiveness in the position ceases at the very moment the term is fulfilled, but this has not been done either in the LOPD or in the current LOPDGDD, nor in Royal Decree 389/2021, of June 1, 2021, which approves the new Statute of the AEPD, which precisely in Article 12.3 establishes that "the person holding the outgoing Presidency shall continue in functions until the new person holding the Presidency takes office," without establishing any limitation regarding the exercise of their functions or competences during the period in office, which was also not established in the previous regulations.

Therefore, since no limitations have been established on the actions of the Director of the AEPD in office, unlike what occurs, for example, in Article 21.2 of Law 50/1997, of November 27, on the Government, which establishes that the Government "continues in functions until the new Government takes office, with the limitations established in this Law," the Director of the AEPD holds the competence to issue the contested resolution, as well as the agreement to initiate the sanctioning procedure.

In this context, it cannot be deemed that the condition under which the Director of the AEPD issued the contested act is nonexistent.

Regarding the assertion that obstruction to the inspection work of this Agency does not exist because Royal Decree 389/2021, of June 1, abolishes the Data Inspection, QUALITY forgets that, although the Data Inspection as a governing body is abolished, C/ Jorge Juan, 6

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28001 – Madrid
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13/18

In its place, the General Subdirectorate for Data Inspection is the equivalent body in the organizational structure of this Agency, with its competencies and functions defined in Article 27 of said Royal Decree; therefore, this Subdirectorate maintains its competencies as outlined in that article.

Regarding the inspection that was attempted on March 15, 2023, there is a record in the file EXP202213771 indicating that QUALITY was notified of the inspection on March 8 at 11:44 AM via a phone call to the number ***TELÉFONO.1, with no record of any call or email to cancel it. Having appeared on that date at the registered office of QUALITY and informing the present individuals that the location where the inspectors were is rented out for events to different companies, including

QUALITY, and in light of the refusal to provide any type of information, the acting inspectors left the premises.

On March 15, 2023, a letter was sent to QUALITY indicating that on March 27, 2023, inspectors from this Agency would be present to conduct an inspection visit. QUALITY, through a registered incoming letter dated March 22, 2023, communicated that they would not allow the inspectors from this Agency to enter their premises nor provide any information. By virtue of their refusal to the inspection, the inspectors did not travel to the headquarters.

Finally, regarding QUALITY's assertion that the resolution has been communicated outside the time allowed by law, it is noted that, on May 24, 2023, the Director of the Spanish Agency for Data Protection agreed to initiate the present sanctioning procedure, where it was informed that the procedure would have a maximum duration of twelve months from the date of said Agreement, in accordance with the provisions of Article 64 of the LOPDGDD. Therefore, a resolution has not yet been issued, and the timeframe that prevails under the principle of normative specialty is that indicated in the aforementioned initiation Agreement.

III

Allegations to the Proposal for Resolution

In response to the allegations to the Proposal for Resolution of the present file submitted by QUALITY, the following should be noted.

First, regarding the so-called prior allegation by QUALITY, in which it reaffirms all the statements made in previous writings, it should be noted that a large part of the allegations presented against the proposal for resolution of this file reproduce the same arguments made against the initiation agreement and, therefore, have already been rebutted by this Agency in the previous Legal Basis. As for QUALITY's assertion that it has been unable to find SAN 5570/2022, dated December 9, 2022, within the CENDOJ, we include the following link where it can access the publication of the same in CENDOJ:

<https://www.poderjudicial.es/search/AN/openDocument/2f1d10beac9183daa0a8778d75e36f0d/20221229>

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

14/18

On the other hand, regarding the alleged inconsistency pointed out by QUALITY when this Agency indicated that the present procedure has a maximum duration of twelve months from the date of the initiation agreement, while in the file numbered EXP202300740 we informed them that its maximum duration was nine months, it is clarified that Article 64 of the LOPDGDD has been modified by Final Provision 9.4 of Law 11/2023, of May 8, with said modification coming into effect as of May 10, 2023. Therefore, from that date, the maximum duration of the sanctioning procedure has changed to twelve months from the date of the initiation agreement. Given that the date of the initiation agreement was May 24, 2023, the maximum duration of the present file, as previously informed, is 12 months.

Regarding QUALITY's assertion concerning the lack of motivation in the assessment of the sanction to apply Article 83.2.b) of the GDPR, regarding the intentionality or negligence in the infringement, QUALITY communicated in writing that it was exercising its right not to testify and that it would not allow the inspectors of this Agency to enter its premises. QUALITY invokes its rights not to present original documents and to act assisted by counsel, according to Articles 53.1.c) and g) of the LPACAP; however, these rights do not conflict with the powers of this Agency, particularly to carry out inspections, require the exhibition or sending of necessary documents and data, examine them at the location where they are deposited or where the processing takes place, and obtain copies of them, in accordance with the provisions of Article 53.1 of the LOPDGDD.

Regarding QUALITY's mention of Article 63.3 of the LPACAP, it should be noted that the present sanctioning procedure originates from the obstruction of the inspection activity of this Agency carried out within the framework of file number EXP202213771; therefore, it has not been initiated due to facts or behaviors classified as infringements in which the infringer persists continuously.

Concerning QUALITY's statement that the absence of the inspectors from this Agency or their inability to identify them on March 27 deprived them of the grounds for recusal, it is made clear that it was QUALITY's refusal to the inspection, communicated in writing, that motivated the inspectors not to attend its premises as planned. Furthermore, the mere identification of the inspectors does not entail their recusal, which would only occur, if applicable, in accordance with the provisions of Articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

QUALITY also requests that the name of the complainant be removed from the current procedure, clarifying that the complainant in file EXP202213771 is not a party in the present procedure, with their name appearing only in the information request that this Agency notified to QUALITY and which was incorporated into the present procedure for evidentiary purposes, as indicated in the Initiation Agreement.

Finally, regarding QUALITY's reference to the sanction imposed by this Agency against CaixaBank for providing a mother, who was not identified, with data from her daughter's account, it is reiterated that the infringement that underpins this sanctioning procedure...

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

15/18

is not related to the legitimacy of the possible treatments that may be carried out, therefore it does not aim to determine the necessity for QUALITY to request the accreditation of the identity of third parties nor the manner, if applicable, of doing so, but rather is limited to obstructing the inspection actions of this Agency.

IV

Unfulfilled Obligation

In accordance with the available evidence, it is considered that QUALITY prevents the staff of the Spanish Agency for Data Protection from accessing personal data, information, premises, equipment, and processing means that are required for the exercise of their investigative powers.

With the aforementioned conduct of QUALITY, the investigative power conferred to control authorities by Article 58.1 of the GDPR, in this case, the AEPD, has been obstructed.

Regarding what QUALITY has alleged to refuse access to the information requested by the inspectors of this Agency, it should be noted that Article 53.1 of the LOPDGDD under the heading "Scope of the investigative activity" stipulates the following:

"1. Those who carry out investigative activities may collect the information necessary for the fulfillment of their functions, conduct inspections, require the exhibition or sending of the necessary documents and data, examine them at the location where they are deposited or where the processing takes place, obtain copies of them, inspect physical and logical equipment, and require the execution of treatments and programs or management and support procedures subject to investigation."

Furthermore, Article 27.2 of the aforementioned RD 389/2021 develops the functions of the General Sub-Directorate for Data Inspection, among which is in its section b) the exercise of the investigative powers defined in Article 51 of Organic Law 3/2018, of December 5.

Therefore, the facts described in the section "Proven Facts" are considered to constitute an infringement, attributable to QUALITY, for violation of Article 58.1 of the GDPR, which provides that each control authority shall have, among its investigative powers:

"a) order the controller and the processor and, where applicable, the representative of the controller or the processor, to provide any information required for the performance of their functions; b) carry out investigations in the form of data protection audits; c) carry out a review of the certifications issued under Article 42, paragraph 7; d) notify the controller or the processor of the alleged infringements of this Regulation; e) obtain from the controller and the processor access to all personal data and all information necessary for the exercise of their functions; f) obtain access to all premises of the controller and the processor, including any equipment and means of data processing, in accordance with the procedural law of the Union or of the Member States."

V

Classification and Qualification of the Infringement

In accordance with the available evidence, the facts presented are considered to constitute an infringement, attributable to QUALITY.

This infringement is classified under Article 83.5.e) of the GDPR, which considers as such: "failure to provide access in violation of Article 58, paragraph 1."

The same article establishes that this infringement may be sanctioned with a fine of up to twenty million euros (€20,000,000) or, in the case of a company, an amount equivalent to four percent (4%) of the total annual global turnover of the previous financial year, opting for the higher amount.

For the purposes of the statute of limitations for infringements, the infringement attributed prescribes after three years, in accordance with Article 72.1 of the LOPDGDD, which qualifies the following conduct as very serious:

"ñ) Failure to provide access to the competent data protection authority's personnel to personal data, information, premises, equipment, and processing means required by the data protection authority for the exercise of its investigative powers.

o) Resistance or obstruction to the exercise of the inspection function by the competent data protection authority."

VI

Imposed Sanction

The fine imposed must be, in each individual case, effective, proportionate, and dissuasive, in accordance with the provisions of Article 83.1 of the GDPR. Consequently, the sanction to be imposed must be graduated according to the criteria established in Article 83.2 of the GDPR, and with the provisions of Article 76 of the LOPDGDD, regarding section k) of the aforementioned Article 83.2 GDPR.

Based on the available information, it is noted that the following aggravating circumstances are present:

- Article 83.2.b) of the GDPR: intentionality or negligence in the infringement.

The obstruction to the inspection activity of this Agency is intentional and manifest, with QUALITY expressly stating that it will not provide access to this Agency to any data or information, nor will it allow access to the inspectors, referring its collaboration to the judicial route.

- Article 76.2.b) of the LOPDGDD, in accordance with the provisions of Article 83.2.k) of the GDPR: the link between the infringer's activity and the processing of personal data.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

17/18

QUALITY maintains an activity of processing personal data through the portal Inglobaly.com, through which it manages a database of personal data and offers various services to third parties related to such data.

In light of the facts presented, it is considered appropriate to impose a sanction on QUALITY for the violation of Article 58.1 of the GDPR as classified in Article 83.5 e) of the GDPR. The sanction to be imposed is an administrative fine in the amount of 20,000.00 euros.

Therefore, in accordance with the applicable legislation and having assessed the criteria for the graduation of sanctions whose existence has been established, the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on QUALITY-PROVIDER S.A., with NIF A87407243, for an infringement of Article 58.1 of the GDPR, classified in Article 83.5 of the GDPR, a fine of 20,000.00 euros (TWENTY THOUSAND euros).

SECOND: TO NOTIFY this resolution to QUALITY-PROVIDER S.A.

THIRD: To warn the sanctioned party that they must pay the imposed sanction once this resolution becomes enforceable, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in Article 68 of the General Collection Regulation, approved

by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No.

IBAN: ES00-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once it is enforceable, if the date of enforceability falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative process in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file an administrative contentious appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and in section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law. Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative process may be provisionally suspended if the interested party expresses their intention to file an administrative contentious appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the administrative contentious appeal. If the Agency does not have knowledge of the filing of the administrative contentious appeal within two months from the day following the notification of this resolution, it will consider the provisional suspension terminated.

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Mar España Martí

Director of the Spanish Agency for Data Protection

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